Company Accounts - Issue of Debentures

CHAPTER-8 ISSUE OF DEBENTURES

Debenture is a written instrument acknowledging a debt and containing provisions as regards the repayment of principal and the payment of interest at a fixed rate. According to Sec. 2 (30) of the Companies Act, 2013, debenture includes debenture stock, bonds or any other instrument of a company evidencing a debt, whether constituting a charge on the assets of the company or not. Debenture represents a debt.

Types of Debentures

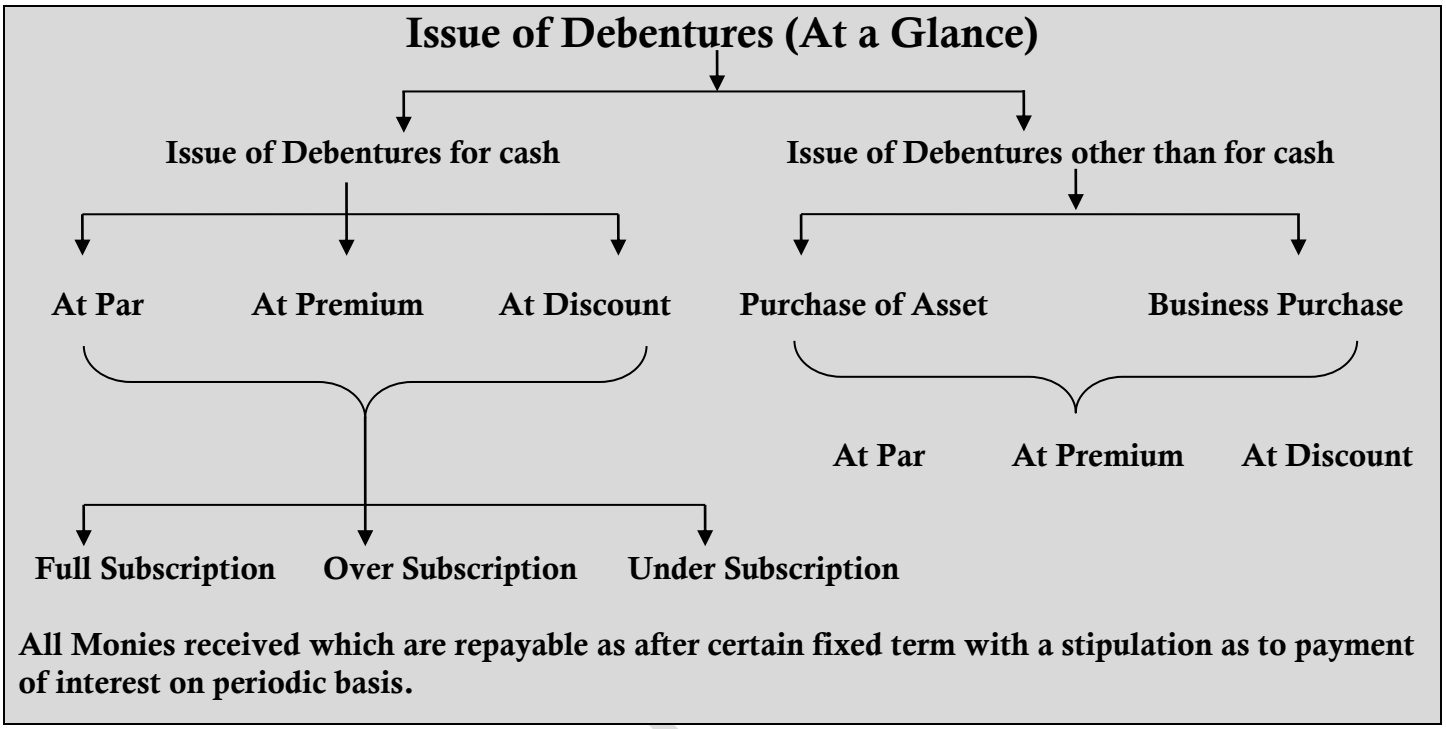
1. From the point of view of Security	1. Unsecured Debentures 2. Fully Secured Debentures 3. Partly Secured Debentures
2. From the point of view of Tenure	1. Redeemable Debentures 2. Irredeemable Debentures
3. From the point view of Mode on Redemption	1. Convertible Debentures (i) Fully Convertible Debentures (FCD) (ii) Partly Convertible Debenture (PCD) 2. Non- convertible Debentures
4. From the point of view of Coupon Rate	1. Debentures carrying Fixed ROI 2. Debentures carrying Floating ROI
5. From the point of view of Registration	1. Registered Debentures 2. Bearer Debentures

Difference b/w a Share and a Debenture

Basis of Distinction	A Share	A Debenture
1. Capital Vs. Loan	Share is a part of owned capital.	Debenture constitutes a loan
2. Reward for investment	Reward is the payment of dividend.	Reward is the payment of interest
3. Fluctuations in the rate of Interest and dividend	The rate of dividend may vary from year to year depending upon the profit decisions of directors and members.	The rate of interest is fixed.
4. Charge vs. Appropriation	Payment of dividend is an appropriation out of profit and this cannot be made if there is no profit.	Payment of interest is charge against profits and is to be made even if there is no profit.
5. Priority as to payment	Payment of dividend gets no priority over the payment of interest.	Payment of interest gets priority over the payment of dividend.
6. Priority as to repayment on winding up	Payment of share capital is made after the repayment of debentures.	Payment of debentures is made before the payment of share capital.
7. Secured by charge	Shares are not secured by any charge.	Non-convertible Debentures redeemable on or after 18 months are secured by a charge.
8. Restriction on issue discount	Sec.53 impose certain restrictions on issue of shares at discount.	No restriction is imposed on the issue of debentures at discount.

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9. Voting rights	Shareholders generally enjoy voting rights.	Debenture- holders do not have any voting rights (except at their class-meetings).
10. Convertibility	Equity shares can never be convertible	Debentures can be convertible.
11. Trust Deed	Share Trust Deed is not required to be executed	Debenture Trust Deed is required to be executed



All Monies received which are repayable as after certain fixed term with a stipulation as to payment of interest on periodic basis.

Accounting Treatment

A. Issue of Debentures other than for cash

Sometimes the company can issue Debentures not for cash but in satisfaction of its liability towards vendor for any purchase of asset or in such cases where it acquires the business of another entity.
The Debentures so issued can be at par, premium or discount as per the arrangement b/w the company and vendor.

No: of Debentures issue = Total amount payable / Issue price per Debenture

Case-I: Issue of Debentures for purchase of an asset

Asset A/c	Dr.
To Vendor A/c	
Vendor A/c	Dr.
Discount on issue of Debentures A/c	Dr. *(Any One)
To Securities Premium A/c	*
To Debentures A/c	

Case-II: Issue of Debentures for purchase of Business

Sundry Assets A/c	Dr.
Goodwill A/c	Dr. * (Any One)
To Sundry Liabilities A/c	
To Vendor A/c	
To Capital Reserve A/c	*

Vendor A/c	Dr.
Discount on issue of Debentures A/c	Dr. # (Any One)
To Securities Premium A/c	#
To Debentures A/c	

B. Issue of Debentures for cash

All entries related to issue of Debentures are exactly same as in the case of shares except that in place of share capital; the word debenture is replaced. The debenture application, allotment and call stages as in the case of issue of debentures payable in installments will have similar journal entries as in case of shares allotment.

However for sake of simplicity following journal entry can be passed:

1. For receipt of application money

Bank A/c	Dr.
To Debentures Application & Allotment A/c	

2. At the time of making allotment

Debentures Application & Allotment A/c	Dr.
Discount on issue of Debentures A/c	Dr. *(Any One)
To Securities Premium A/c	*
To Debentures A/c	

C. Journal entry on issue of debentures from redemption point of view

When the debentures are issued and the question also provides the information as regards to the redemption of the same, then at the time of issue of debentures a provision for loss is to be recorded for any loss that may arise on their redemption in the form of premium payable on redemption.

The journal entry in such case shall be as follows:

Bank A/c	Dr.
Discount on issue of debentures A/c	Dr.
Loss on issue of debentures A/c	Dr.
To Debentures A/c	
To Securities Premium A/c	
To Premium on redemption A/c	

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D. Issue of Debentures as Collateral Security

Collateral security means additional security given to the lender over and above the prime security to secure the amount of loan advanced by the lender.
This collateral security can be realized by the lender only when the prime security falls short to meet the total loan repayment or accrued interest thereon.
Debentures can be issued as a collateral security by a company. The holder of such debentures will receive interest only on the amount of loan and not on these debentures. In the event of failure to repay the loan, the lender may choose to claim his right on these debentures.

There are two ways to deal with issue of debentures as a collateral security. These are:

Method-I: No journal entry, only balance sheet disclosure

The fact of issue of debentures is disclosed under the heading Secured Loans on the liability side of balance sheet.

Balance Sheet Extract (Disclosure of Loan)

S.No	Particulars	Sch No	Current Year Amount (₹)	Previous Year Amount (₹)
(A)	**EQUITY & LIABILITIES**			
	Non Current Liability			
	(a) Long-term Borrowings			
	Secured Loans			
	--- Bank Loan (Secured by issue of ₹ XX/-, 10% Debentures as collateral security)		**xxx**	

Method-II: Journal entry and balance sheet disclosure

The fact of issue of debentures is disclosed under the heading Secured Loans on the liability side of balance sheet along with debentures for which a journal entry is passed

Debentures Suspense A/c	Dr.
To 10% Debentures A/c	

Balance Sheet Extract (Disclosure of Loan/Debentures)

S.No	Particulars	Sch No	Current Year Amount (₹)	Previous Year Amount (₹)
(A)	**EQUITY & LIABILITIES**			
	Non Current Liability			
	(a) Long-term Borrowings			
	Secured Loans			
	--- Bank Loan (Secured by issue of ₹ XX/-, 10% Debentures as collateral security)		**xxx**	
	--- 10% Debentures (Issued as collateral security against bank loan) **Less:** Debenture Suspense Account		**xxx** **xxx**	

Default or Non-Payment of Loan for which debentures were issued as collateral securities:

If the borrower company fails to pay the loan along with interest, the lender can recover the due amount by selling primary security or by redeeming collateral security, i.e., debentures.
The liability arises when the lender exercises his right vested in the collateral security. As and when the lender exercises this option, the following Journal entries are passed:

1. When debentures issued as collateral security are un-recorded from the books of account:

Debentures A/c	Dr.	
To Debentures Suspense A/c		

2. When outstanding loan and interest due is adjusted by issue of debentures:

Loan A/c	Dr.	
Outstanding Interest A/c	Dr.	
To Debentures A/c		

Writing off Discount & Loss on issue of debentures

Any discount on issue of debentures or any loss due to premium payable on redemption is a capital loss and it is to be written off in the year when the debentures are issued.

Discount or Loss may be written off from Securities Premium Reserve (Section 52(2)) and/or from Statement of Profit and Loss.
The journal entry for which is:

Securities Premium A/c	Dr.	
Profit & Loss A/c	Dr.	
To Discount/Loss on issue of debentures A/c		

First, the balance available in the Securities Premium Reserve is to be utilized to write off the loss on issue of debentures and thereafter from profit and loss account of the year.
The unamortized amount is shown on the Assets Side of the Balance Sheet as Non-Current /Current Asset depending upon the period for which it has to be written off.

Interest on debentures

Interest on debentures is payable on the face value of debentures at a fixed rate or coupon rate. Normally such interest is paid half yearly or as otherwise agreed. Such interest on debentures is a charge against the profits of the company and is payable even in case the company incurs loss.
The interest so payable by the company is tax deductible and hence reduces the tax burden of the company.
On the other hand, this interest represents the income of the debenture holder and thus tax is payable by them.
As per laws a fixed percentage (say 10%) is deducted by the company from the interest payable to debenture holders and deposited by the company to government account.

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The journal entries for interest on debentures are as follows:

1. For interest payable

Interest on debentures A/c	Dr.	
To Debenture Holders A/c		
To TDS payable A/c		

2. For making payment to debenture holders

Debenture Holders A/c	Dr.	
To Bank A/c		

3. For payment of TDS to government

TDS payable A/c	Dr.	
To Bank A/c		

4. For charging interest to P&L A/c

Profit & Loss A/c	Dr.	
To Interest on debentures A/c		

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Test Your Knowledge & Practice

Issue of Debentures at par for Cash

1. ABC Ltd. issued 2,000; 9% Debentures of ₹ 100 each payable as ₹ 25 on application; ₹ 25 on allotment and ₹ 50 on first and final call. Applications were received for all the debentures along with the application money and allotment was made. The call money was also received on the due date. Pass necessary Journal entries in the books of the company.

2. X Ltd. issued 6,000, 12% Debentures of ₹ 100 each at par, redeemable at par after 5 years, payable as ₹ 60 on application and the balance on allotment. The debentures were fully subscribed and all money was duly received. Journalize these transactions.

3. XYZ Ltd. issued 2,000; 9% Debentures of ₹ 100 each payable as ₹ 20 on application; ₹ 20 on allotment; ₹ 30 on first call; ₹ 30 on final call.
The public applied for 2,400 debentures. Applications for 1,800 debentures were accepted in full. Applications for 400 debentures were allotted 200 debentures and applications for 200 debentures were rejected. Pass necessary Journal entries.

Issue of Debentures at Premium for Cash

4. X Ltd. issued 6,000, 12% Debentures of ₹ 100 each at 6% premium, redeemable at par after 5 years, payable as ₹ 66 on application (including Premium) and the balance on allotment. Debentures were fully subscribed and all money was duly received. Journalize these transactions.

5. Amaze Ltd. invited applications for issuing 7,500; 12% Debentures of ₹ 100 each at a premium of ₹ 35 per debenture. The full amount was payable on application. Applications were received for 10,000 Debentures. Applications for 2,500 debentures were rejected and the application money was refunded. Debentures were allotted to the remaining applicants.
Pass necessary Journal entries for the above transactions.

6. A Ltd. issued 7,000, 10% Debentures of ₹ 500 each at a premium of ₹ 50 per debenture redeemable at a premium of 10% after 5 years. According to the terms of issue, ₹ 200 was payable on application and balance on allotment. Record necessary Journal entries at the time of issue of Debentures.

7. ABC Limited issued ₹ 10,00,000 Debentures of ₹ 100 each at a premium of 10%, payable as 25% on application (including the premium) and the balance on allotment. The debentures were duly taken up by the public and the money was duly received. You are required to give Journal entries and prepare Cash Book.

8. Vijay Ltd. invited applications for 10,000; 12% Debentures of ₹ 100 each at a premium of ₹ 70 per debenture. The full amount was payable on application. Applications were received for 13,500 debentures. Applications for 3,500 debentures were rejected and application money was refunded. Debentures were allotted to the remaining applications. Pass necessary Journal entries in the books of Vijay Ltd. for the above transactions.

9. Uday Ltd. issued 5,000; 8% Debentures of ₹ 100 each at a premium of 5% payable as ₹ 10 on application; ₹ 20 along with premium on allotment and balance on first and final call. Pass necessary Journal entries.

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Issue of Debentures at Discount for Cash

10. C Ltd. issues 18,000, 12% Debentures of ₹ 100 each at a discount of 5% redeemable at par after 4 years. Journalize.

11. X Ltd. issued 12,000; 8% Debentures of ₹ 100 each at a discount of 5% payable as 25% on application; 20% on allotment and balance after three months. Pass Journal entries.

12. X Ltd. issued 6,000, 12% Debentures of ₹ 100 each at 6% discount, redeemable at par after 5 years, payable as ₹ 60 on application and the balance on allotment. Debentures were fully subscribed and all money was duly received. Journalize these transactions.

13. A Ltd. issued 5,000, 10% Debentures of ₹ 1,000 each at a discount of 10%, redeemable at a premium of 5% after 5 years. According to the terms of issue ₹ 500 was payable on application and the balance amount on allotment of debentures. Record necessary entries regarding issue of Debentures.

Issue of Debentures for Consideration other than Cash

14. A limited company bought a Building for ₹ 9,00,000 and the consideration was paid by issuing 10% Debentures of the nominal (face) value of ₹ 100 at a discount of 10%. Give Journal entries.
(Ans: 10,000 debentures of ₹ 100 each)

15. Reliance Ltd. purchased machinery costing ₹ 1,35,000. It was agreed that the purchase consideration be paid by issuing 9% Debentures of ₹ 100 each.
Assume debentures have been issued (i) at par and (ii) at a discount of 10%. Give necessary Journal entries.
(Ans: Number of Debentures Issued: (i) 1,350; (ii) 1,500)

16. Deepak Ltd. purchased furniture of ₹ 2,20,000 from M/s. Furniture Mart. 50% of the amount was paid to M/s. Furniture Mart by accepting a Bill of Exchange and for the balance the company issued 9% Debentures of ₹ 100 each at a premium of 10% in favour of M/s. Furniture Mart. Pass Journal entries in the books of Deepak Ltd.

17. X Ltd. purchased an established business for ₹ 2,00,000 payable as ₹ 65,000 by cheque and the balance by an issue of 9% Debentures of ₹ 100 each at a discount of 10%. Give Journal entries in the books of X Ltd.
(Ans: 1,500 debentures of ₹ 100 each)

18. Nexa Ltd. purchased a Machinery from B for an agreed purchase consideration of ₹ 5,76,000 to be satisfied by the issue of 9% Debentures of ₹ 100 each at 4% discount. Journalize the transactions.
(Ans: 6,000 debentures of ₹ 100 each)

19. Lotus Ltd. took over assets of ₹ 2,50,000 and liabilities of ₹ 30,000 of Goodluck Company for the purchase consideration of ₹ 3,30,000. Lotus Ltd. paid the purchase consideration by issuing debentures of ₹ 100 each at 10% premium. Give Journal entries in the books of the Lotus Ltd.
(Ans: Goodwill: ₹ 1,10,000)

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20. X Ltd. purchased assets of the book value of ₹ 4,00,000 and took over the liabilities of ₹ 50,000 from Mohan Bros. It was agreed that the purchase consideration, settled at ₹ 3,80,000, be paid by issuing debentures of ₹ 100 each. Pass Journal entries if debentures are issued: (a) at par, (b) at a discount of 10% and (c) at a premium of 10%. It was agreed that any fraction of debentures be paid in cash.
(Ans: Goodwill: ₹30,000; case (a) 3,800 debentures; case (b) 4,222 debentures and paid cash ₹ 20; case (c) 3,454 debentures and paid cash ₹ 60)

21. R Ltd. purchased the assets of S Ltd. for ₹ 5,00,000. It also agreed to take over the liabilities of S Ltd. amounted to ₹ 2,00,000 for a purchase consideration of ₹ 2,80,000. The payment of S Ltd. was made by issue of 9% Debentures of ₹ 100 each at par. Pass necessary Journal entries in the books of R Ltd.
(Ans: Capital Reserve: ₹ 20,000)

22. X Ltd. purchased a running business from Y Ltd. for a sum of ₹ 3,60,000 payable 10% by a cheque and the balance by the issue of fully paid 15% Debentures of ₹ 100 each at a premium of 20%. The assets and liabilities consisted of the following:
Building ₹ 1,80,000, Plant and Machinery ₹ 60,000, Stock ₹ 1,20,000, Sundry Debtors ₹ 60,000, Sundry Creditors ₹ 48,000.
Pass the necessary journal entries in the books of X Ltd.
(Ans: Capital Reserve: ₹ 12,000, No. of Debentures issued: 2,700)

Issue of Debentures as Collateral Security

23. Best Barcode Ltd. took a loan of ₹ 5,00,000 from a bank giving ₹ 6,00,000; 9% Debentures as collateral security. Pass Journal entries regarding issue of debentures, if any, and show this loan in the Balance Sheet of the company.

24. A Ltd. secured a loan of ₹ 48,000 from the Canara Bank on mortgage of Land & Building and issue of 600, 15% Debentures of ₹ 100 each as collateral security. How will you treat the issue of such debentures?

25. A Ltd. issued 3,000, 9% Debentures of ₹ 100 each at par and also raised a loan of ₹ 48,000 from bank, collaterally secured by ₹ 60,000, 9% Debentures. How will you show Debentures in the Balance Sheet of the company assuming, that the company has recorded the issue of Debentures as collateral security in the books?

26. A company took a loan of ₹ 4,00,000 from Bandhan Bank Ltd. and issued 8% Debentures of ₹ 4,00,000 as a collateral security. Explain how will the issue of debentures be dealt with in the books of the company.

27. X Ltd. obtained a loan of ₹ 3,00,000 from IDBI Bank. The company issued 4,000; 9% Debentures of ₹ 100 each as a collateral security for the same. Show how these items will be presented in the Balance Sheet of the company.

28. X Ltd. issued 1000, 10% Debentures of ₹ 100 each as collateral security for a loan of ₹ 80,000 from Yes Bank. The company was unable to repay the loan on which interest payable was ₹ 20,000 as on 31st March, 2023. Yes Bank, on 31st March, 2023, exercised the right vested in it by way of debentures being issued as collateral Security. Pass Journal entries in the books of X Ltd. on 31st March, 2023.

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Writing Off of Loss/Discount on Issue of Debentures

29. X Ltd. issued 2,000, 10% debentures of ₹ 100 each at a discount of 8% on April 1, 2023 which are redeemable at par. It has a balance in Securities Premium Reserve of ₹ 30,000. Calculate the amount to be written-off from securities Premium Reserve.

30. On July 01, 2023 a company issued 15,000, 9% debentures of ₹ 100 each at 10% discount. It has a balance of ₹ 1, 00,000 in securities premium reserve account. Pass the Journal entries for issue of debentures and writing off the discount.

31. Mohit Ltd. has issued 50,000, 8% debentures of ₹ 100 each at a discount of 9% on July 1, 2023. The company has balance of ₹ 5,00,000 in securities premium reserve. Pass necessary journal entries for issue of debentures and to write-off discount/Loss on issue of debentures. The debentures are redeemable after 5 years at a premium of 7%.

32. Diza Ltd. has issued ₹ 15,00,000, 9% debentures of ₹ 100 each at a discount of ₹ 6 per debenture on October 1, 2023. The company has a balance of ₹ 1,00,000 in securities premium reserve account on the same date. Pass necessary journal entries for issue of debentures and to write off discount on issue of debentures.

33. On May 1, 2023 Amrit Ltd. issued 10,000, 8% debentures of ₹ 100 each of a discount of 10% and redeemable at a premium of 10%. The issue was subscribed and amount was duly received. The company had balance of ₹ 70,000 in securities premium reserve on that date. On January 1, 2024, it issued 1,00,000, equity shares of ₹ 10 each at a premium of ₹ 1 per share. Issue was also fully subscribed. Pass the necessary journal entries.

34. On 1st May, 2023, Surya Ltd. issued 10,000, 9% Debentures of ₹ 100 each at a discount of 10% redeemable at par after five years. All the debentures were subscribed. It has a balance of ₹ 60,000 in Capital Reserve and ₹ 1,00,000 in Securities Premium Reserve which the company decided to use for writing off the loss. It decided to write off the discount in the first year itself. Pass the Journal entries for issue of debentures and writing off the discount. Also prepare Discount on Issue of Debentures Account.

Issue of Debentures with Terms of Redemption

35. Journalize the following:
(a) A debenture issued at ₹ 95, repayable at ₹ 100.
(b) A debenture issued at ₹ 95, repayable at ₹ 105.
(c) A debenture issued at ₹ 100, repayable at ₹ 105.
The face value of debenture is ₹ 100 in each of the above cases.

36. Pass necessary Journal entries relating to the issue of debentures for the following:
(a) Issued ₹ 4,00,000; 9% Debentures of ₹ 100 each at a premium of 8% redeemable at 10% premium.
(b) Issued ₹ 6,00,000; 9% Debentures of ₹ 100 each at par, repayable at a premium of 10%.
(c) Issued ₹ 10,00,000; 9% Debentures of ₹ 100 each at a premium of 5%, redeemable at par.

37. Pass Journal Entries in each of the following alternative cases assuming the face value of a debenture being ₹ 100.
(a) A 12% Debenture issued at ₹ 100 repayable at ₹ 100.
(b) A 12% Debenture issued at ₹ 95 repayable at ₹ 100.

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(c) A 12% Debenture issued at ₹ 105 repayable at ₹ 100.
(d) A 12% Debenture issued at ₹ 100 repayable at ₹ 105.
(e) A 12% Debenture issued at ₹ 95 repayable at ₹ 105.
(f) A 12% Debenture issued at ₹ 105 repayable at ₹ 110.
(g) A 12% Debenture issued at ₹ 90 repayable at ₹ 95.

38. Pass Journal entries in the following cases:
(a) Issued ₹ 40,000; 12% debentures at a premium of 5% redeemable at par
(b) Issued ₹ 40,000; 12% debentures at a discount of 10% redeemable at par
(c) Issued ₹ 40,000; 12% debentures at par redeemable at 10% premium
(d) Issued ₹ 40,000; 12% debentures at a discount of 5% and redeemable at 5% premium

39. Footfall Ltd. issues 10,000 Debentures of ₹ 100 each at a discount of 10% redeemable at a premium of 5% after the expiry of three years.
Pass Journal entries for the issue of debentures from redemption point of view.

40. A company issued ₹ 1,00,000; 9% Debentures at a discount of 5% redeemable after 10 years at a premium of 10%. Pass Journal entry for the issue.

41. Pass necessary Journal entries relating to the issue of debentures for the following:
(a) Issued ₹ 28,000; 10% Debentures of ₹ 100 each at a premium of 15% redeemable at par.
(b) Issued ₹ 30,000; 10% Debentures of ₹ 100 each at a premium of 10% and redeemable at a premium of 15%.
(c) Issued ₹ 80,000; 10% Debentures of ₹ 100 each at par repayable at a premium of 10%.

42. Pass necessary Journal entries for the issue of debentures in the following cases:
(a) ₹ 40,000; 12% debentures of ₹ 100 each issued at a premium of 5% redeemable at par.
(b) ₹ 70,000; 12% debentures of ₹ 100 each issued at a premium of 5% redeemable at ₹ 110.

43. Pass necessary Journal entries for the issue of Debentures in the following cases:
(a) ₹ 40,000; 15% Debentures of ₹ 100 each issued at a discount of 10% redeemable at par.
(b) ₹ 80,000; 15% Debentures of ₹ 100 each issued at a premium of 10% redeemable at a premium of 10%.

Interest on Debentures

44. XYZ Ltd. issued 5,000, 10% Debentures of ₹ 100 each on 1st April, 2022 at a discount of 10% redeemable at a premium of 10% after 4 years. Give Journal entries for the year ended 31st March, 2023 assuming that the interest was payable half yearly on 30th September and 31st March.

45. Y Ltd. issued 600, 15% Debentures of ₹ 100 each on 1st April, 2022 at a discount of 10% redeemable at a premium of 10% after 4 years. Pass Journal entries for the period ended 31st March, 2023 assuming that the interest is payable half yearly on 30th September and 31st March.

46. Bright Ltd. issued 5,000; 10% debentures of ₹ 100 each on 1st April, 2022. The issue was fully subscribed. According to the terms of issue, interest on the debentures is payable half-yearly on 30th September and 31st March and the tax deducted at source is 10%. Pass necessary Journal entries related to the debenture interest for the year ending 31st March, 2023.

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Miscellaneous

47. XYZ Ltd. issues 5,000; 9% Debentures of ₹ 100 each. Pass Journal entries and prepare the Balance Sheet in each of the following cases:
(a) Debentures are issued at a premium of 10%.
(b) Debentures are issued as a collateral security to bank against a loan of ₹ 4,00,000.
(c) Debentures are issued at a discount of 5%.
(d) Debentures are issued to a supplier of machinery costing ₹ 4,50,000.

48. Pass Journal entries for the following transactions in the books of Y Ltd:
(a) Purchased machinery ₹ 1,65,000. The vendor was paid by issuing 9% Debentures of ₹ 100 each at a premium of 10%.
(b) Issued 9% Debentures of ₹ 1,50,000 as collateral security.
(c) Paid half yearly interest on ₹ 1,80,000; 9% Debentures.
(d) Issued 1,000; 9% Debentures of ₹ 100 each at a discount of 5%. The debentures were repayable at a premium of 10%.

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